

claim is that since they are often in cash, they achieve their returns with lower volatility.

The stock market, at least in the short run, responds to many factors besides profits and dividends. Inflation and interest rates, the supply of new stock underwritings, the money supply, investor confidence, governmental actions, and international events are all factors that interact with one another in subtle, changing, and unpredictable ways. What we have, really, is a complex system with lags and multiple feedback loops.

All such systems share certain characteristics that hinder predictive accuracy. Behavior can be counterintuitive. (A city virtuously builds public housing only to experience an influx of poor rural people that bankrupts the city and trashes the public housing.) The long-term response will often be the opposite of a short-term response. (Price and wage controls bring down the rate of inflation at first but then create distortions that make the situation worse.) Trying to predict what will happen to a complex system by looking at only one part of it leads to inaccurate conclusions. (Trying to predict the market by watching corporate profits alone is a perfect example.) Setting policy to optimize one part of the system often produces poor results for the total system. (Environmental rules to reduce auto exhaust emissions cause large increases in gasoline consumption, so the effect on the total system may be negative.)

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The stock market is a reliable indicator of where the economy is headed, but you'll get no help looking at events the other way around.

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One might think, for example, that at least the state of the economy would provide a road map to securities prices, but as Peter